war gold mark, and a clear means to accomplish this policy, by restricting the supply of Rentenmarks to maintain its value.'

A year later, a new Reichsmark replaced the Rentenmark at 1:1, and the period of hyperinflation in Germany drew to a close.

Hungary Post-World War II[27]

After World War II, Hungary recorded the worst case of hyperinflation in modern history, with prices rising by 1,50,000 per cent every day. In 1944, the highest denomination of Hungary's currency, the Pengő, was 1,000 Pengő. In July 1946, at the peak of the crisis, the highest denomination note was 10^{28} Pengő!

As in many other instances of hyperinflation, the root of the problem lay in war. As a German ally during World War II, Hungary had borrowed to support the German war effort (debts that were never repaid) and had largely escaped destruction. However, by 1944, it had become a battlefield between Germany and Russia. More than half its industrial capacity and factories were destroyed. Transportation could not function, railway lines and bridges were destroyed, and the retreating German and Soviet armies appropriated any functional machinery.

After the War, the Allied powers ordered Hungary to pay the Soviet Union huge War reparations, which it could not afford. The Hungarian government believed that inflation would reinvigorate the economy, regenerate productive capacity, and create jobs.

As Brian Taylor says:

> The government literally flooded the country with money to get the economy going again. Money may not have grown on trees, but it certainly flowed off the printing presses… the hyperinflation made it even more difficult for the government to collect taxes, so they introduced the Milpengő (1,000,000 Pengő), which in turn was replaced by the Bilpengő (1,000,000,000,000 Pengő), which was replaced by the inflation-indexed Adopengő. But even the indexed Adopengő succumbed to the inflation. By July 1946, there were 2 million trillion Adopengő to the Pengő.